23NWCV01226 23NWCV01226

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-07-02

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Case Number: 23NWCV01226 Hearing Date: July 2, 2026 Dept: P

ZIBUYU
INTERNATIONAL LIMITED v. OPTIMUS TRUCK, INC., ET AL.

CASE NO.: 23NWCV01226

HEARING: 07/02/2026 @
9:30 AM

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TENTATIVE ORDER

I.
Defendant Selena Zhang's motion to compel
arbitration is DENIED.

II.
Defendant Selena Zhang's request for a
stay or to dismiss this action are DENIED without prejudice.

Plaintiff to give notice.

Defendant Selena Zhang (Zhang), in pro per, moves to compel Plaintiff Zibuyu International Limited (Plaintiff) to submit its claims to arbitration and stay this action pending the completion of arbitration.

Background

On April 25, 2023, Plaintiff Zibuyu International Limited, a Hong Kong corporation, filed this breach of contract action against Defendants Optimus Truck Inc. (Optimus), a California corporation, Selena Zhang, and Does 1 through 10 (Defendants). The complaint alleges the following: on September 8, 2022, the parties entered into an agreement titled "Cross-Border Logistics and Overseas Warehouse Service Contracts" (the Agreement), which outlines Plaintiff's payment terms and Optimus's duty to send and receive Plaintiff's products. (Complaint, ¶¶ 7-8.) On March 27, 2023, after operations had run smoothly for some time, Ji, a general manager for Plaintiff, was informed that Zhang, CEO and director of Optimus, that Zhang took the inventory list. (Complaint, ¶¶ 8-10.) Zhang and her husband then gave Plaintiff an ultimatum if Plaintiff wanted to access its product, including payments which "would be considerably higher than what [Plaintiff] was currently paying and were in effect an attempt to extort [Plaintiff] to modify the Agreement without consideration if it wanted its products back. (Complaint, ¶¶ 10-14.) The complaint alleges Defendants continued to bar Plaintiff from their premises and deny access to Plaintiff's goods. (Complaint, ¶ 22.)

The complaint asserts four causes of action: (1) breach of contract, (2) breach of the covenant of quiet enjoyment, (3) intentional interference with contractual relations, and (4) violation of Business & Professions Code section 17200.

On May 18, 2026, the Court granted Zhang's ex parte application in part and vacated the trial date and stayed this action pending resolution of this motion.

Legal Standard

Under both the Federal Arbitration Act (FAA) and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc., § 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state…the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Cal. Rules of Court, rule 3.1330.) The moving party must also establish the other party’s refusal to arbitrate the controversy. (Code Civ. Proc., § 1281.2.) “Once such a document is presented to the court, the burden shifts to the party opposing the motion to compel, who may present any challenges to the enforcement of the agreement and evidence in support of those challenges.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

In ruling on a motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.) A petition to compel arbitration is a suit in equity to compel specific performance of a contract. (Frog Creek Partners, LLC. v. Vance Brown, Inc. (2012) 206 Cal.App.4th 515, 532.)

Under the FAA, general contract defenses, such as fraud, duress, or unconscionability, may provide grounds for invalidating an arbitration agreement if they are enforced evenhandedly and do not interfere with fundamental attributes of arbitration. (9 U.S.C.A. § 1, et seq.)

Request for Judicial Notice

Zhang requests the Court take judicial notice of the following documents in support of her reply: (1) Plaintiff's own Index of Exhibits; (2) The "Declaration of Fei Ji," executed April 26, 2023, and filed by Plaintiff in this action; and (3) certain Court records in this action.

Zhang’s request for judicial notice as to No. 1 is DENIED. Zhang’s request for judicial notice as to Nos. 2 and 3 is GRANTED pursuant to Evidence Code section 452, subdivision (d).

Discussion

Zhang moves to compel Plaintiff to submit its claims to arbitration before the Hangzhou Arbitration Commission pursuant to the parties’ written arbitration agreement and stay this action pending the outcome of arbitration. Alternatively, Zhang moves to dismiss this action without prejudice on the grounds of forum non conveniens and vacate the trial date.

Validity of the Arbitration Agreement

Zhang moves to compel Plaintiff to submit its claims to arbitration based on a contract titled “Contract on Service of Cross-Border Logistics and Overseas Location” (Contract) entered into between Plaintiff and Optimus. (Zhang Decl., Exh. A.) Zhang provides a certified translation of the Contract. The Contract specifies that Zhang is the “Legal Representative” of Optimus. The Contract provides the following:

Eight. Execution and performance of this contract will be governed by the present laws of China. Disputes arising out of the performance of the contract will be resolved through friendly negotiation. If the negotiation fails, the dispute will be submitted to [Hangzhou Arbitration Committee] for arbitration. The decision from the arbitration will be final. The arbitration cost will be borne by the losing party.

(Zhang Decl., Exh. A.) Zhang argues that this Contract is governed by the FAA and the New York Convention.

In opposition, Plaintiff argues that Zhang is not a party to the Contract and therefore cannot enforce this arbitration agreement. Plaintiff notes that it brings this action against Zhang in her individual capacity and, alternatively, as an alter ego of Optimus. (Complaint, ¶ 3.) Plaintiff also argues, and the Court agrees, that to the extent that Zhang seeks to compel this arbitration agreement on behalf of Optimus, it would be improper as Zhang appears in pro per. (CLD Construction, Inc. v. City of San Ramon (2004) 120 Cal.App.4th 1141, 1145 1145 [“a corporation, unlike a natural person, cannot represent itself before courts of record in propria persona, nor can it represent itself through a corporate officer, director or other employee who is not an attorney.”].)

“Generally speaking, one must be a party to an arbitration agreement to be bound by it or invoke it.” (Westra v. Marcus & Millichap Real Estate Investment Brokerage Co., Inc. (2005) 129 Cal.App.4th 759, 763.) However, there are exceptions to the general rule. (Id., at p. 765.) “A nonsignatory to an agreement to arbitrate may be required to arbitrate, and may invoke arbitration against a party, if a preexisting confidential relationship, such as an agency relationship between the

nonsignatory and one of the parties to the arbitration agreement, makes it equitable to impose the duty to arbitrate upon the nonsignatory." (Ibid.)
Under the agency exception, "a defendant may enforce the arbitration agreement, 'when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement....'" (Garcia v. Pexco, LLC (2017) 11 Cal.App.5th 782, 788.)

Here, the complaint alleges that "Zhang is also the alter ego of Optimus, having organized Optimus as a shield from personal liability for the attempted extortion and other torts." (Complaint, ¶ 3.) Alter ego allegations constitute an exception to the general rule. (Rowe v. Exline (2007) 153 Cal.App.4th 1276, 1285 ["By suing Exline and Trahan for breach of the Agreement on the ground that they are Initiatek's alter egos, and even alleging in the complaint that Exline and Trahan entered into the Agreement, Exline and Trahan are 'entitled to the benefit of the arbitration provisions.'"].) Based on the allegations in the complaint, Zhang has standing as a nonsignatory to compel arbitration.

Zhang additionally cites the equitable estoppel exception which says

"a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claim when the causes of action against the nonsignatory are 'intimately founded in and intertwined with' the underlying contract obligations." (Garcia, supra, 11 Cal.App.5th at p. 786.)
Here, Plaintiff's claims against Zhang and Optimus are the same and arise out of the Contract. (Rowe, supra, 153 Cal.App.4th at p. 1285 ["while an agent is one who acts on behalf of a corporation, an alter ego is one who, effectively, is the corporation."].) Therefore, the Court finds that the equitable estoppel exception also applies.

Plaintiff additionally argues that the scope of the arbitration agreement does not cover Plaintiff's tort and statutory claims. Here, as argued by Zhang, the claims all arise out of the alleged breaches of contract. Therefore, the claims are covered under the scope of the Contract.

The Court therefore finds that Zhang establishes the existence of a contract covering Plaintiff's claims and governed by the FAA.

Waiver

Plaintiff argues that Zhang waived her right to arbitrate these claims by litigating this action for three years and bringing this motion on the eve of trial.

The inquiry for waiver in an arbitration provision governed by the FAA is whether the party "knowingly relinquish the right to arbitrate by acting inconsistently with that right?" (Morgan v. Sundance, Inc. (2022) 142 U.S. 1708, 1714.) "The waiver inquiry is exclusively focused on the waiving party's words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant." (Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562, 584.) "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (Id. at p. 585.) As explained by the California Supreme Court in St. Agnes Medical Center, the determination of waiver is a question of fact, and the following factors "are relevant and properly considered" in determining waiver:

(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether "the litigation machinery has been substantially invoked" and the parties "were well into preparation of a lawsuit" before the party notified the opposing party of an intent to arbitrate;

(3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay;

(4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings;

(5) "whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place"; and

(6) whether the delay "affected, misled, or prejudiced" the opposing party.'"

(St. Agnes Medical Center v. PacifiCare of California (2003) 31 Cal.4th 1187, 1196.) Since the FAA applies, the sixth factor for prejudice is not applicable. (Morgan, supra, 142 U.S. at p. 1714.)

Plaintiff points to the Contract to show that Zhang knew of her right to arbitrate as a signatory of the Contract in 2022. Plaintiff argues that Zhang waited three years after the commencement of this action to move to compel arbitration. Plaintiff shows that Zhang waited until after the final status conference on February 23, 2026, to file the instant motion, on February 26, 2026. Plaintiff also shows that Zhang initially set the hearing for this motion to occur after the scheduled trial date of June 15, 2026. The record shows that only after nearly three months after filing this motion did Zhang move ex parte to vacate the trial date to allow this motion to be heard.

In reply, Zhang argues that unlike in Quach, in which the Supreme Court of California found waiver, Zhang has not served affirmative discovery or filed a merits-based motion. In Quach, the Court found that a party who waited thirteen months after the filing of a complaint to move to compel arbitration, engaged in discovery, and indicated a preference for a jury trial in a case management statement exhibited “words and conduct markedly inconsistent with an intent to arbitrate” and waived its right to arbitration. (Quach, supra, 16 Cal.5th at p. 586-87.)

Here, Zhang did not raise arbitration in her answer and waited nearly three years before indicating any attempt to arbitrate. Zhang requests the Court take judicial notice of various documents in this record including her case management statement on October 16, 2023. The case management statement shows that Zhang selected the option to request a five-day jury trial and did not select the option indicating that the “[t]he party or parties completing this form are willing to participate in” arbitration. (CMS, 8/16/23.) Zhang also requests the Court take judicial notice of Plaintiff’s complaint, which contains the Contract, showing that Zhang had knowledge of the right to arbitrate at least as of the date the complaint was served, in May of 2023. (Complaint, Exh. A.) There are additionally two joint stipulations dated August 6, 2024, and September 24, 2025, to continue trial and related deadlines. The first trial date was continued from August 30, 2024 to November 17, 2025, then to March 9, 2026, then to June 15, 2026, and then it was vacated. Zhang acted inconsistently with her right to arbitrate by raising the right for the first time over one-and-a-half years after the first scheduled trial date and three days after the final status conference. The Court therefore finds that Zhang waived her right to arbitrate.

Accordingly, Zhang’s motion to compel arbitration is DENIED.

Zhang’s alternative request to dismiss this action without prejudice is DENIED without prejudice. Zhang is not foreclosed from bringing a separate motion for such relief. Multiple motions should not be combined into a single filing.¿(See¿Gov. Code,¿§ 70617, subd. (a)(4) [setting forth the required filing fee for each motion, application, or any other paper or request requiring a hearing])